Practice Paper — Edexcel-style	**Paper reference** 8EC0/02-A

Edexcel (A) AS Economics — Practice

Paper 2: The UK Economy — Performance and Policies

Difficulty: Advanced

Time allowed: 1 hour 30 minutes

Total marks: 80

Instructions

• Use black ink or ball-point pen.

• There are two sections in this question paper.

• Answer all questions in Section A.

• In Section B, answer all of questions 6(a) to 6(e) and one question from 6(f) or 6(g).

• Answer the questions in the spaces provided.

Information

• The total mark for this paper is 80.

• The marks for each question are shown in brackets — use this as a guide as to how much time to spend on each question.

• Calculators may be used.

SECTION A

Answer ALL questions. You are advised to spend 25 minutes on this section.

Use the data to support your answers where relevant.

1 In 2022 the UK Office for Budget Responsibility (OBR) estimated that the UK was operating with a positive output gap of approximately 0.4% of potential GDP.

(Source: adapted from OBR Economic and Fiscal Outlook)

(a) Which **one** of the following best describes a **positive** output gap? **(1)**

- ■ **A** Actual real output is below the trend rate of potential output
- ■ **B** Actual real output is equal to potential output
- ■ **C** Actual real output is above the trend rate of potential output
- ■ **D** Potential output is rising faster than actual output

(b) Explain **one** consequence for the UK economy of operating with a positive output gap. **(3)**

(Total for Question 1 = 4 marks)

2 In 2023 the UK marginal propensity to save (MPS) was estimated to be 0.25, while the marginal propensity to import (MPM) was 0.30 and the marginal rate of tax (MRT) was 0.35.

(Source: adapted from HM Treasury working assumptions)

(a) Define the term **'injection'** in the circular flow of income. **(1)**

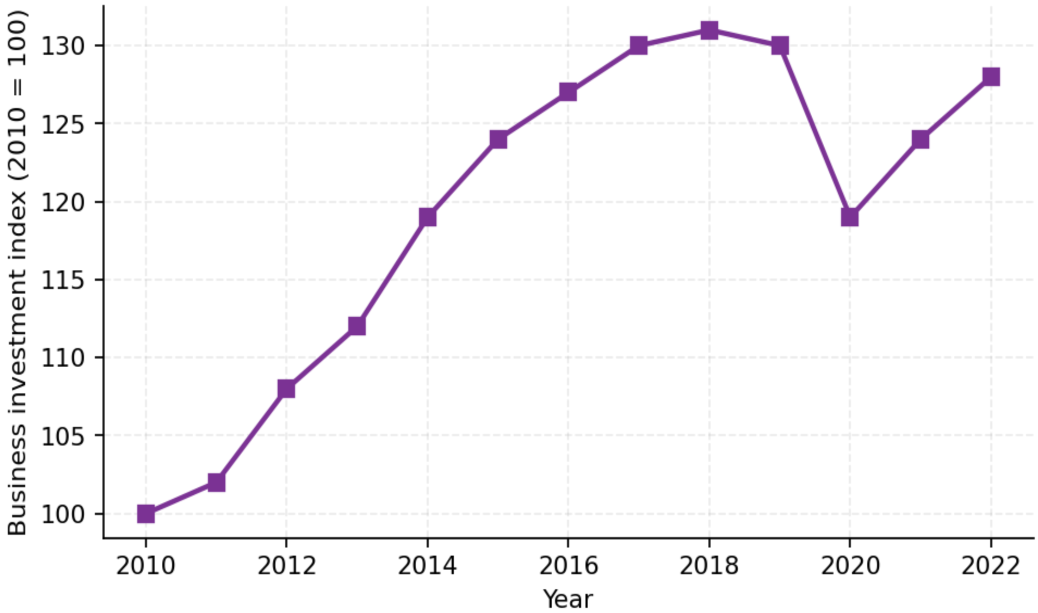
(b) Explain **one** factor that might cause the UK marginal propensity to consume to **increase**. **(2)**

(c) Using the data above, which **one** of the following is closest to the value of the UK multiplier? Use 1 / (MPS + MPM + MRT). **(1)**

- ■ **A** 0.90
- ■ **B** 1.11
- ■ **C** 2.22
- ■ **D** 3.33

(Total for Question 2 = 4 marks)

3 The graph below shows the UK business investment index (2010 = 100) from 2010 to 2022.



(Source: adapted from Office for National Statistics)

(a) Which **one** of the following can be inferred from the chart? **(1)**

■ **A** Business investment in 2020 was almost double its 2010 level

■ **B** Business investment fell sharply in 2020 before partially recovering

■ **C** Business investment grew at a constant rate over the period shown

■ **D** Business investment in 2022 was below its 2010 level

(b) With reference to the chart, explain **one** likely cause of the change in UK business investment between 2019 and 2020. **(3)**

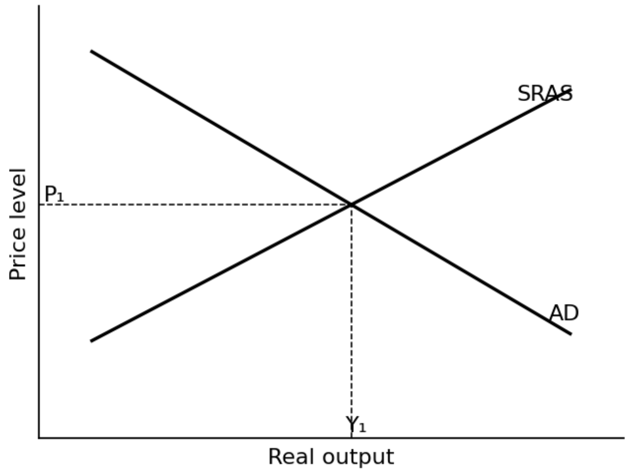
(Total for Question 3 = 4 marks)

4 Between September 2022 and December 2022 the pound sterling depreciated by approximately 5% against a trade-weighted basket of currencies.

(Source: adapted from Bank of England)

(a) Define the term **'depreciation'** of a currency. **(1)**

(b) Annotate the AD/SRAS diagram below to show the likely impact of a depreciation of the pound on the equilibrium level of real output and the price level. **(2)**



(c) Which **one** of the following is most likely to be a consequence of a depreciation of the pound, holding other factors equal? **(1)**

- ■ **A** A fall in the price of imported raw materials in pounds
- ■ **B** A reduction in the volume of UK exports demanded abroad
- ■ **C** An increase in the price of imported goods in pounds
- ■ **D** A guaranteed improvement in the UK current account in the short run

(Total for Question 4 = 4 marks)

5 The table below shows UK government total receipts and total managed expenditure, in £ billion, between 2020/21 and 2023/24.

Financial year	Total receipts (£bn)	Total expenditure (£bn)
2020/21	794	1102
2021/22	914	1037
2022/23	1027	1158
2023/24	1095	1216

(Source: adapted from HM Treasury Public Sector Finances)

(a) Define the term **'direct taxation'**. **(1)**

(b) Using the table, calculate the budget deficit for 2022/23 and express it as a percentage of total receipts in that year. You are advised to show your working. **(2)**

(c) Which **one** of the following is most likely to **reduce** the size of a budget deficit over time? **(1)**

■ **A** A rise in the unemployment rate

■ **B** A period of strong economic growth that raises tax revenues

■ **C** An increase in welfare spending without offsetting tax rises

■ **D** A fall in nominal GDP

(Total for Question 5 = 4 marks)

TOTAL FOR SECTION A = 20 MARKS

SECTION B

Read Figures 1 and 2 and Extract A before answering Question 6.

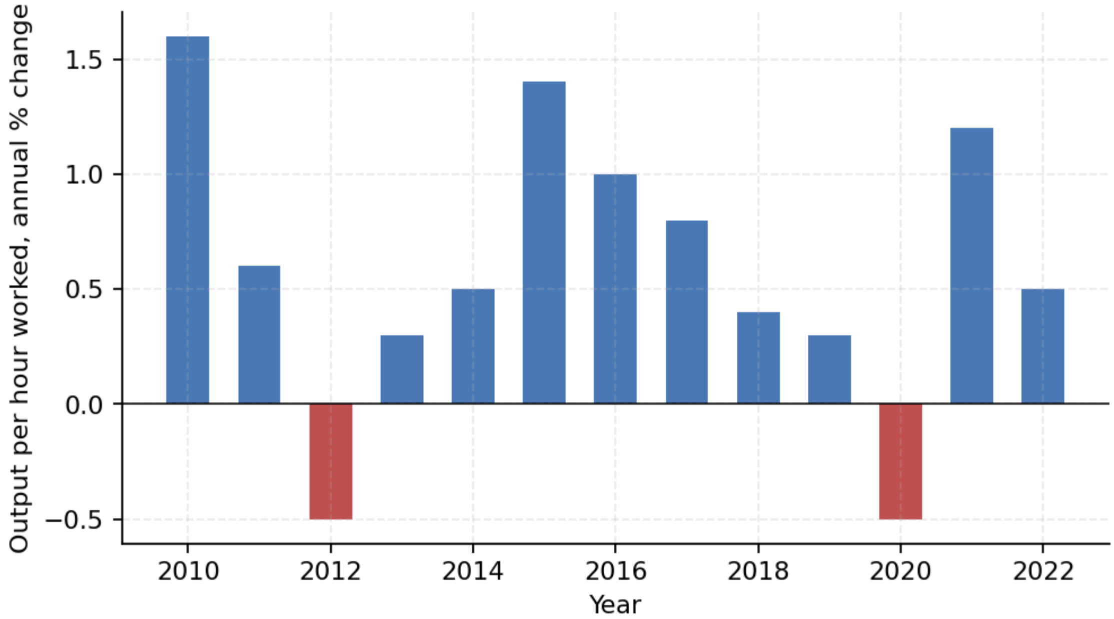
Answer ALL Questions 6(a) to 6(e) and EITHER Question 6(f) OR Question 6(g).

You are advised to spend 1 hour and 5 minutes on this section.

Question 6

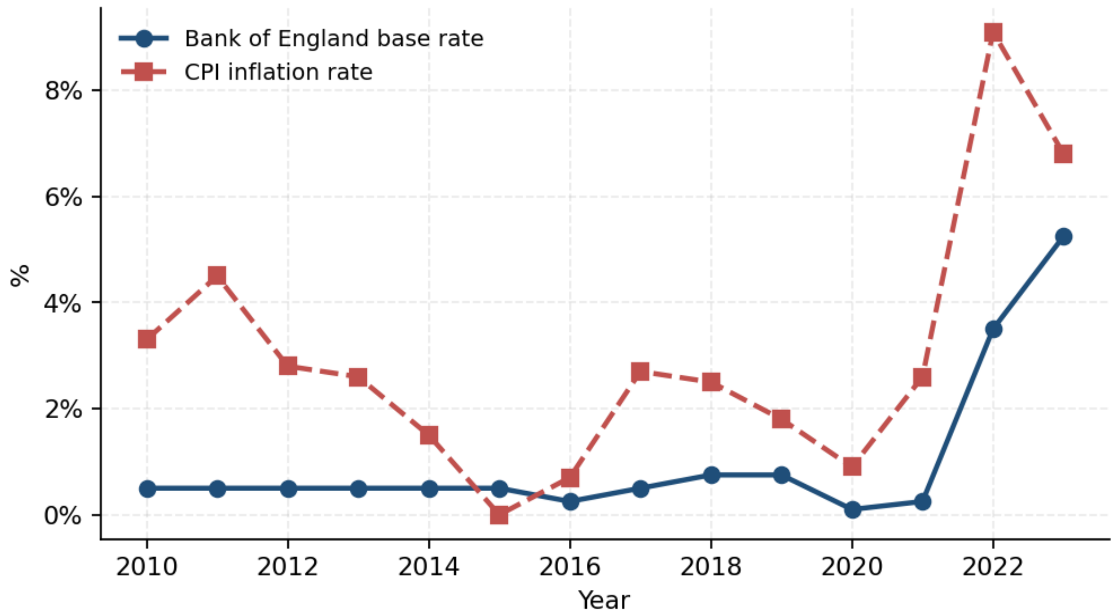
The UK productivity puzzle and the policy response

Figure 1: UK labour productivity (output per hour), annual percentage change, 2010 to 2022



(Source: adapted from Office for National Statistics)

Figure 2: UK Bank of England base rate and CPI inflation rate, 2010 to 2023



(Source: adapted from Bank of England and Office for National Statistics)

Extract A

The long shadow of the UK productivity puzzle

Since the Global Financial Crisis of 2008, the UK has experienced one of the weakest productivity performances of any large advanced economy. Output per hour worked grew on average by less than 0.5% a year between 2010 and 2019, compared with average growth above 2% a year in the decade before. Economists have called this the “productivity puzzle”.

A number of explanations have been suggested. Business investment as a share of GDP has been persistently low, partly reflecting uncertainty around the UK’s exit from the European Union. Regional infrastructure outside London has been criticised as inadequate, and skills shortages have been reported in sectors such as construction, hospitality and digital technology. The Bank of England has noted that low productivity growth limits the speed at which the economy can expand without generating inflation.

Successive UK governments have responded with a range of supply-side policies. The 2017 Industrial Strategy promised £23 billion of additional public investment in research, infrastructure and transport. Corporation tax was cut from 28% in 2010 to 19% in 2017, in part to attract foreign direct investment. More recently, “super-deduction” capital allowances allowed firms to deduct 130% of qualifying investment from taxable profits during 2021 and 2022.

Supporters of these policies argue that they raise the long-run productive capacity of the economy. Critics counter that productivity growth has not visibly accelerated, and that real wages have stagnated for many UK workers. They argue that improvements in education, training and the quality of management will matter more than tax incentives.

Meanwhile the Bank of England’s Monetary Policy Committee (MPC) has had to balance support for growth with the need to control inflation. From 2010 to 2021 the base rate was held close to zero, and large-scale asset purchases (quantitative easing) added to the money supply. By August 2023, however, the base rate had been raised to 5.25% to combat inflation that briefly exceeded 11%. Higher interest rates may help anchor inflation expectations but also raise the cost of borrowing for firms wishing to invest in productivity-improving capital.

The challenge for UK policymakers is therefore to design a package of demand-side and supply-side measures that supports investment, raises productivity and brings inflation back to the 2% target without causing a deep recession.

(Source: original passage written for this practice paper)

6 (a) With reference to Figure 1, explain the term **'labour productivity'**. **(4)**

6 (b) Assess the likely impact of an increase in business investment on the UK economy. Use an aggregate demand and aggregate supply diagram in your answer. **(10)**

6 (c) With reference to the information provided, explain **two** supply-side policies that the UK government has used to try to raise productivity. **(6)**

6 (d) Explain **one** reason why “higher interest rates… also raise the cost of borrowing for firms wishing to invest in productivity-improving capital” (Extract A). **(5)**

6 (e) Discuss factors, **apart from** business investment, which may explain the UK's weak productivity growth shown in Figure 1. **(15)**

EITHER

6 (f) Evaluate whether supply-side policies are more effective than demand-side policies in increasing the long-run growth rate of the UK economy. **(20)**

OR

6 (g) Evaluate the view that the Bank of England's sharp increase in interest rates between 2021 and 2023 was the most appropriate response to UK inflation. **(20)**

Chosen question number: **Question 6(f)** ■ **Question 6(g)** ■

Write your answer here:

(Total for Question 6 = 60 marks)

TOTAL FOR SECTION B = 60 MARKS

TOTAL FOR PAPER = 80 MARKS